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SECURITIES AND EXCHANGE BOARD OF INDIA
NOTIFICATION
Mumbai, the 31st of May, 2018

SECURITIES AND EXCHANGE BOARD OF INDIA (ALTERNATIVE INVESTMENT FUNDS) (AMENDMENT) REGULATIONS, 2018

No. **SEBI/LAD-NRO/GN/2018/19**.- In exercise of the powers conferred by subsection (1) of section 30 read with sub-section (1) of section 11, clause (ba) and clause (c) of sub-section (2) of section 11 and sub-sections (1) and (1B) of section 12 of the Securities and Exchange Board of India Act, 1992 (15 of 1992), the Board hereby makes the following regulations to further amend the Securities and Exchange Board of India (Alternative Investment Funds) Regulations, 2012, namely,-

1. These regulations may be called the Securities and Exchange Board of India (Alternative Investment Funds) (Amendment) Regulations, 2018.
2. They shall come into force on the date of their publication in the Official Gazette.
3. In the Securities and Exchange Board of India (Alternative Investment Funds) Regulations, 2012,-
 - (i) in regulation 2, in sub-regulation (1),-
 - (a) in clause (b),

1. in proviso, in clause (i), the words “Companies Act, 1956” shall be substituted with the words “Companies Act, 2013”.
2. in proviso, the existing clause (ii) shall be substituted with the following clause, namely,-

“(ii) ESOP Trusts set up under the Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2014 or as permitted under Companies Act, 2013;”

3. in proviso, the existing clause (iv) shall be substituted with the following clause, namely,-

“(iv) ‘holding companies’ as defined under sub-section 46 of section 2 of Companies Act, 2013;”

- (b) in clause (g), the words “Companies Act, 1956” shall be substituted with the words “Companies Act, 2013”

- (c) in clause (u), the existing sub-clause (iii) shall be substituted with the following sub-clause, namely;-

“(iii) company registered under section 8 of the Companies Act, 2013”

- (ii) in regulation 2, in sub-regulation (2), the words “Companies Act, 1956 (1 of 1956)” shall be substituted with the words “Companies Act, 2013 (18 of 2013)”.
- (iii) in regulation 10, in clause (f), in the proviso, the words “Companies Act, 1956” shall be substituted with the words “Companies Act, 2013”.
- (iv) in regulation 19A, in sub-regulation (3), in clause (a), in Explanation I, the words “section 6 of the Companies Act, 1956 (1 of 1956)” shall be substituted with the words “sub-section 77 of section 2 of the Companies Act, 2013”.
- (v) in regulation 19D, in sub-regulation (2), the word “ten” shall be substituted with the word “five”.
- (vi) in regulation 19D, in sub-regulation (3), the word “three” shall be substituted with the word “five”.
- (vii) in regulation 19D, in sub-regulation (4), the following proviso shall be inserted, namely,-

“Provided that the provisions of the Companies Act, 2013 shall apply to the Angel Fund, if it is formed as a company.”
- (viii) in regulation 19E,-
 - (a) sub-regulation (1) shall be substituted with the following, namely,-

“The angel fund may launch schemes subject to filing of a term sheet with the Board, containing material information regarding the scheme, in the format and time period as may be specified by SEBI.”

- (b) sub-regulation (2) and (3) shall be omitted.
- (c) existing sub-regulation (4) shall be re-numbered as sub-regulation (2)
- (d) in sub-regulation (2), the following proviso shall be inserted, namely,

“Provided that the provisions of the Companies Act, 2013 shall apply to the Angel Fund, if it is formed as a company”

(ix) in regulation 19F, in sub-regulation (2), the words “five crores” shall be substituted with the words “ten crores”.

(x) in regulation 29, in sub-regulation (3), the words “Companies Act, 1956 (1 of 1956)” shall be substituted with the words “Companies Act, 2013”.

Sd/-

AJAY TYAGI

CHAIRMAN

SECURITIES AND EXCHANGE BOARD OF INDIA

Footnote:

1. The Securities and Exchange Board of India (Alternative Investment Funds) Regulations, 2012 were published in the Gazette of India on 21st May, 2012 vide No. LAD-NRO/GN/2012-13/04/11262.

2. The Securities and Exchange Board of India (Alternative Investment Funds) Regulations, 2012 were subsequently amended on:

- a. 16th September, 2013 by Securities and Exchange Board of India (Alternative Investment Funds) (Amendment) Regulations, 2013 vide No. LAD-NRO/GN/2013-14/24/6573.
- b. 23rd May, 2014 by Securities and Exchange Board of India (Payment of Fees) (Amendment) Regulations, 2014 vide No. LAD-NRO/GN/2014-15/03/1089.
- c. 26th September, 2014 by Securities and Exchange Board of India (Real Estate Investment Trusts) Regulations, 2014 vide No. LAD-NRO/GN/2014-15/11/1576.
- d. 14th August, 2015 by Securities and Exchange Board of India (Alternative Investment Funds) (Amendment) Regulations, 2015 vide No. SEBI/LAD-NRO/GN/2015-16/011.
- e. 4th January, 2017 by Securities and Exchange Board of India (Alternative Investment Funds) (Amendment) Regulations, 2016 vide No. SEBI/LAD/NRO/GN/2016-17/026.
- f. 6th March, 2017 by Securities and Exchange Board of India (Payment of Fees and Mode of Payment) (Amendment) Regulations, 2017 vide No. SEBI/LAD/NRO/GN/2016-17/037.
